Session 3.4: The Open Ecosystem Strategy



ShopNest: more requests than one team can build

ShopNest lets small shops build their own online store. Arjun is its founder. Shops keep asking for new features, and some leave for bigger store builders.

SHOPNEST	VALUE
Shops using ShopNest	**400**
Price per shop	**$50 a month ($600 a year)**
Features shops have asked for	**30**
Features the team can build in a year	**3**
Shops that left last year, mostly for missing features	**60**
Small software companies asking to build add-ons	**12**

What is the Open Ecosystem Strategy?

A company **opens its product so that outside companies, called partners, can build on it**. It becomes a **platform**: it keeps the core of the product and sets the rules, and many partners add features, apps, or ideas that the company could never build alone. Customers get more choice, partners get customers, and the platform becomes harder to leave.

Use it when customers want more features than your team can build, outside companies are able and willing to build them, and you can protect the core and the customers.

Ecosystem, partner, API

Ecosystem

A group of companies that work around one platform and help each other's customers.

Example: ShopNest plus the companies that build add-ons for ShopNest shops.

Partner

(outside developer)

An outside company that builds something on your platform.

Example: a small company that builds a loyalty-points app.

API

Application programming interface: rules that let one program safely use parts of another program.

Example: through ShopNest's API, a delivery app can read a shop's orders.

Core, revenue share, open innovation

Core

The central parts the platform keeps for itself, because they hold its value and customers' trust.

Example: ShopNest keeps payments and customer data.

Revenue share

The part of a partner's sales that the platform keeps.

Example: an app earns $1,000; the platform keeps 20%: $200 for the platform, $800 for the partner.

Open innovation

Using ideas and work from people outside the company, such as customers, fans, or partners.

Example: a toy company lets fans send in designs for new sets.

Rule 1: Open the edges, keep the core

Let partners add features around your product, but keep the parts that hold your value and customers' trust.



DO

Example

ShopNest opens an API so partners can add delivery tracking, loyalty points, and gift cards. Payments and customer data stay with ShopNest.

AVOID

Common mistake

Opening everything, including payments and customer data, with no control. Partners can misuse it, and the platform loses its value.

Rule 2: Make it worth it for partners to join

Partners build only if they can earn more than it costs them. Give them customers, tools, and a fair share of the money.



DO

Example

ShopNest keeps 0% of the first $10,000 each partner earns in a year, and 15% after that. Partners also get free test stores.

AVOID

Common mistake

Taking a large share of every sale, so partners cannot cover their costs. No partners join, and the app market stays empty.

Rule 3: Set clear rules and check quality

Customers trust the platform, not each small partner. Review apps before they go live, and protect customers' data.



DO

Example

Every app is tested before it appears in the ShopNest app market, and apps can read only the data that a shop allows.

AVOID

Common mistake

Letting any app in without checks. One bad app that leaks data or breaks stores damages trust in the whole platform.

Rule 4: Do not compete unfairly with your partners

Partners invest time and money because they trust you. Do not copy their apps, change the rules suddenly, or push them out.



DO

Example

When ShopNest plans a new feature, it tells partners six months ahead and does not copy any partner's app.

AVOID

Common mistake

Copying the most popular partner app, or cutting partners off with no warning. Other partners stop building.

The Shopify App Store

What happened

Shopify helps millions of businesses run online stores. Instead of building every feature itself, it lets outside developers sell apps to Shopify stores through its API and app store. In 2021, Shopify announced that developers would keep all of their first $1 million in app sales each year, and pay only 15% after that, instead of 20% before.

Why it is good

- Shopify keeps checkout and payments; partners add thousands of features. **(Rule 1)**
- A low share lets small developers earn enough to keep building. **(Rule 2)**
- Shopify reviews apps before they are listed. **(Rule 3)**

GOOD EXAMPLE 2

LEGO Ideas

What happened

LEGO lets fans post designs for new LEGO sets online. If a design gets 10,000 supporters, LEGO reviews it. If LEGO makes the set, the fan designer receives a small share (1%) of its sales.

Why it is good

- New ideas from fans; LEGO keeps design checks, production, and the brand. **(Rule 1)**
- Fans get public credit and a share of sales. **(Rule 2)**
- 10,000 supporters plus LEGO's review keep quality high. **(Rule 3)**

Twitter and its developers

What happened

For years, outside apps such as Tweetbot and Twitterrific gave people other ways to read Twitter. In January 2023, Twitter suddenly cut these apps off with no warning, then changed its rules to ban them. Twitterrific shut down. In 2023, Twitter also stopped free access to its API and began charging developers (from $100 a month).

Why it is bad

- Changed the rules suddenly and pushed out partners who helped it grow. **(Rule 4)**
- Developers lost their business overnight, so others stopped trusting the platform. **(Rule 2)**
- Users who liked these apps lost them too.

BAD EXAMPLE 2

Facebook and Cambridge Analytica

What happened

In 2014, a personality-quiz app on Facebook collected data from its users and their friends, up to 87 million people. The data was passed to Cambridge Analytica, a political consulting company. After this became public in 2018, the U.S. Federal Trade Commission fined Facebook $5 billion in 2019, partly for failing to control what outside apps did with users' data.

Why it is bad

- Outside apps could reach far more data than they needed. **(Rule 1)**
- Facebook did not check well what apps did with the data. **(Rule 3)**
- Users lost trust in the whole platform, not only in one app.

Which rule made the difference?

EXAMPLE	RESULT	THE RULE THAT DECIDED IT
Shopify App Store	**Good**	A deal small developers want (Rule 2)
LEGO Ideas	**Good**	Open to fans, with clear checks (Rules 1 and 3)
Twitter	**Bad**	Pushed out its partners overnight (Rule 4)
Facebook	**Bad**	Opened user data without control (Rules 1 and 3)

An ecosystem grows when partners can earn and trust you, and customers stay safe.

Tool 1: Years to build alone

USED IN EXERCISE 3

Formula

Years to build alone = features customers want / features your team builds per year

WHAT IT LOOKS LIKE

Example: a booking app

- Customers want 20 features.
- The team builds 4 a year.
- 20 / 4 = 5 years.

Tool 2: Value of customers kept and won

USED IN EXERCISE 3

Formula

Value = (customers who stay instead of leaving + new customers) x revenue per customer per year

WHAT IT LOOKS LIKE

Example: a booking app

- Keeps 10 customers who would have left; wins 15 new ones.
- Each pays $300 a year.
- (10 + 15) x $300 = $7,500.

Tool 3: Revenue share for the platform and the partner

USED IN EXERCISES 2 AND 3

Formula

Platform's share = partner's sales x share %

Partner keeps = partner's sales - platform's share

WHAT IT LOOKS LIKE

Example: an app

- The app sells $12,000 a year; the platform keeps 20%.
- Platform: $2,400. Partner keeps: $9,600.

Tool 4: Trade-off and decision rule (from Session 2.1)

MEMO BULLET 2

Trade-off

What you give up to get something you value more.

MEMO BULLET 3

Decision rule

A promise, written before you start, about which result would make you change your decision.

Example: "If fewer than 10 partner apps are live after six months, we will lower our revenue share."

Open ecosystem or not?

Six companies plan a move:

- (a) A game console lets outside studios sell games in its online store.
- (b) A bank lets budgeting apps read a customer's spending, only with permission, through an API.
- (c) A restaurant hires one more cook.
- (d) A map company lets taxi apps use its maps for a fee.
- (e) A phone maker makes its phones work only with its own chargers.
- (f) A toy company invites fans to send in designs for new toys.

EXERCISE 1 / EASY / 20 MIN

Use the template

TEMPLATE

Move [letter]: [open ecosystem / not open ecosystem], because
[who outside the company builds or adds something, or nobody]
and [what the company keeps or controls].

WORKED EXAMPLE: TWO OTHER MOVES

Move: an e-book store lets small publishers upload and sell their own books.
Open ecosystem, because outside publishers add books, and the store keeps payments, pricing rules, and the reading app.
Move: a bakery buys a bigger oven.
Not open ecosystem, because nobody outside the company builds anything.

Who outside builds something, and what does the company keep?

MOVE	ANSWER	WHY
(a) Outside game studios	Open	Studios add games; the console keeps the store
(b) Bank API for budget apps	Open	Apps build on data, with the customer's permission
(c) One more cook	Not	Only grows its own work
(d) Maps for taxi apps	Open	Taxi apps build on the maps
(e) Own chargers only	Not	Closes the product to outsiders
(f) Fan toy designs	Open	Open innovation: fans add ideas

Design a deal that partners want: BookIt

Scenario

- BookIt: a booking platform used by **2,000** hair salons.
- A partner's reminder app: **$8** a month per salon; **5%** of salons expected to buy.
- The app costs the partner **$8,000** a year to build and run.
- Share rules: **30%**, **15%**, or **0% on the first $10,000** a year (15% after).

Your steps

- **Step 1:** Salons = 2,000 x 5% = _____. Sales = salons x $8 x 12 = $_____. Partner keeps at 30% = $_____; at 15% = $_____; with 0% on the first $10,000 = $_____.
- **Step 2:** Which rules leave the partner more than $8,000?
- **Step 3:** Recommend with the template.

Use the template

TEMPLATE

Under [rule], the partner keeps $[amount], which is [more / less] than its cost of $[cost],
so partners [will / will not] want to build for us.
We should choose [rule], because [Rule 2 reason],
even though we give up $[amount] a year from this app.

WORKED EXAMPLE: A RECIPE PLATFORM

A meal-planner app sells $20,000 a year and costs its maker $15,000.
Under 30%, the partner keeps $14,000, less than its cost, so partners will not want to build for us.
Under 10%, the partner keeps $18,000, more than its cost.
We should choose 10%, because partners must earn more than they spend (Rule 2), even though we give up $4,000 a year ($6,000 - $2,000).

Only a low share leaves the partner a profit

- Salons that buy = **100**. App sales = 100 x $8 x 12 = **$9,600**.
- Partner keeps: **$6,720** at 30%; **$8,160** at 15%; **$9,600** with 0% on the first $10,000.
- Only the last two are above the $8,000 cost, and 15% leaves very little.
- A strong answer chooses 0% on the first $10,000 (Rule 2), and notes that BookIt gives up $2,880 a year compared with 30%, in return for more apps that keep salons on BookIt.

Build alone or open an app market? ShopNest's next 12 months

400 shops / $600 a year each / 30 features wanted / 3 built per year / 60 shops left last year

BUILD ALONE

Option A: Build more yourself

Hire one more developer for **$48,000** a year; the team builds 3 more features.

Expect **20** fewer shops to leave and **20** new shops.

OPEN

Option B: Open an app market

API and app reviews: **$15,000** once + **$500** a month. Expect **20** partners and **25** apps.

Expect **30** fewer shops to leave and **40** new shops. **100** shops buy apps at **$10** a month; ShopNest keeps **20%**.

Calculate before you decide (Tools 1 to 3)

- Years to build 30 features alone: today = 30 / 3 = ____; with one more developer = 30 / 6 = ____
- Option A: value = (20 + 20) x $600 = $_____; result = value - $48,000 = $_____
- Option B costs = $15,000 + 12 x $500 = $_____
- Option B: value = (30 + 40) x $600 = $_____; share = 100 x $10 x 12 x 20% = $_____; result = value + share - costs = $_____
- Option B if only 5 partners join (10 fewer leave, 10 new, 20 shops buy apps): (10 + 10) x $600 + 20 x $10 x 12 x 20% - costs = $_____

Write a 3-bullet memo to Arjun (Tool 4)

TEMPLATE

To: [founder name], [company]
1. Decision and evidence: We should choose [option] because [the rule it follows] and [one number from your calculation].
2. Biggest risk and trade-off: The weakest point is [risk]. We give up [what we lose] to gain [what we protect or win].
3. Next step and decision rule: In the next six months we will [one action] and measure [one number]. We will change this decision if [result].

Then give a 2-minute presentation using your three bullets.

BookIt: which revenue share?

To: Grace Park, CEO, BookIt

1. Decision and evidence: We should keep 0% of the first $10,000 each partner earns, because small partners must earn more than they spend (Rule 2): the reminder app keeps $9,600, above its $8,000 cost.

2. Biggest risk and trade-off: The weakest point is that we earn almost nothing from small apps at first. We give up $2,880 a year from this app to attract more partners and keep salons on BookIt.

3. Next step and decision rule: In the next six months we will invite 20 small developers and count live apps. We will change this decision if fewer than 8 apps are live by then.

Opening wins if partners come, and loses if they do not

- Years to build alone: **10** today; **5** with one more developer. Too slow for 30 features.
- Option A: (20 + 20) x $600 = $24,000; result = **-$24,000**.
- Option B costs = **$21,000**. Value = $42,000; share = **$2,400**; result = **$23,400**.
- Option B with only 5 partners: $12,000 + $480 - $21,000 = **-$8,520**.

The key question is Rule 2: will partners want to build?

What a strong memo looks like

- Usually chooses Option B.
- Protects the core: payments and data stay with ShopNest (Rule 1).
- Plans a partner-friendly share and app reviews (Rules 2 and 3).
- Gives a decision rule: "If fewer than 10 apps are live after six months, we will lower our share or help partners build."

SUCCESS CHECK

Can you do these three things?

01

Explain an open ecosystem with the words platform, partner, API, core, and revenue share.

02

Design a revenue share that partners want to join.

03

Compare building alone with opening an app market and write a decision rule.

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